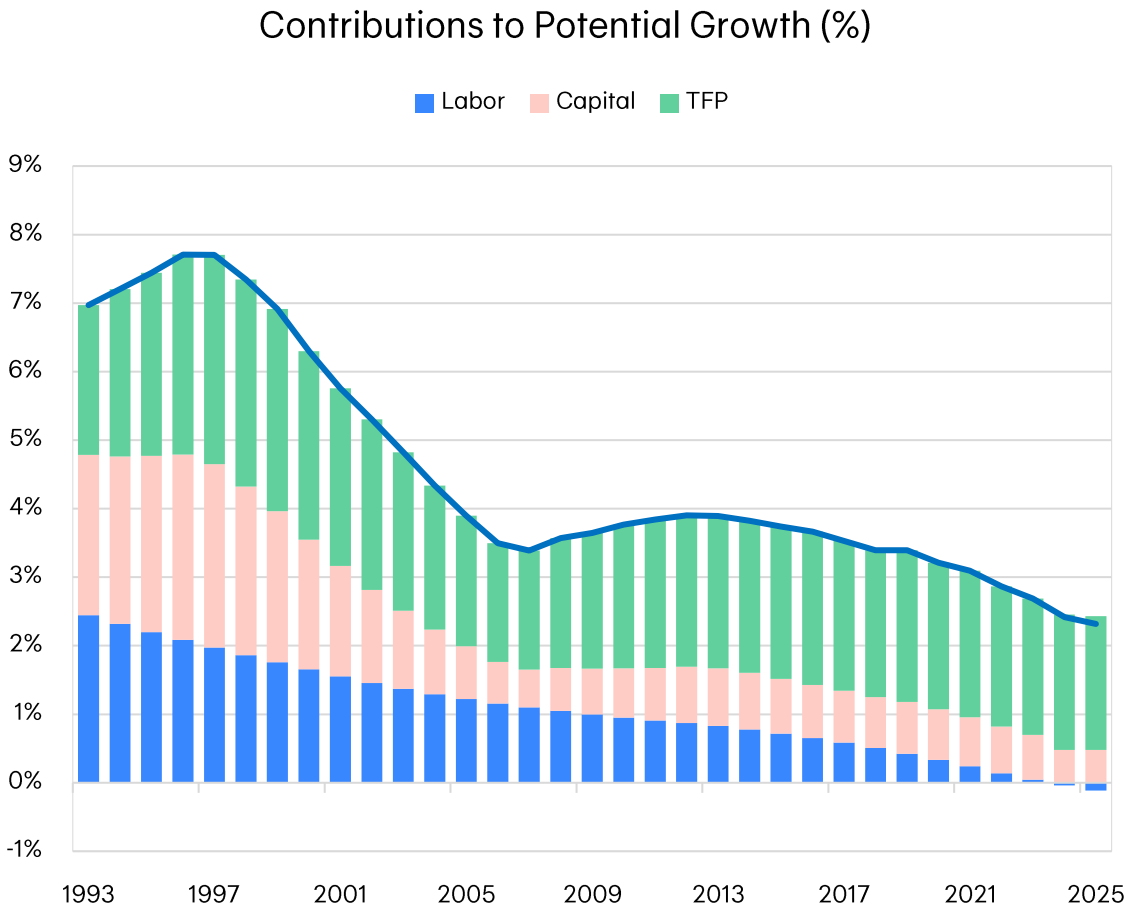
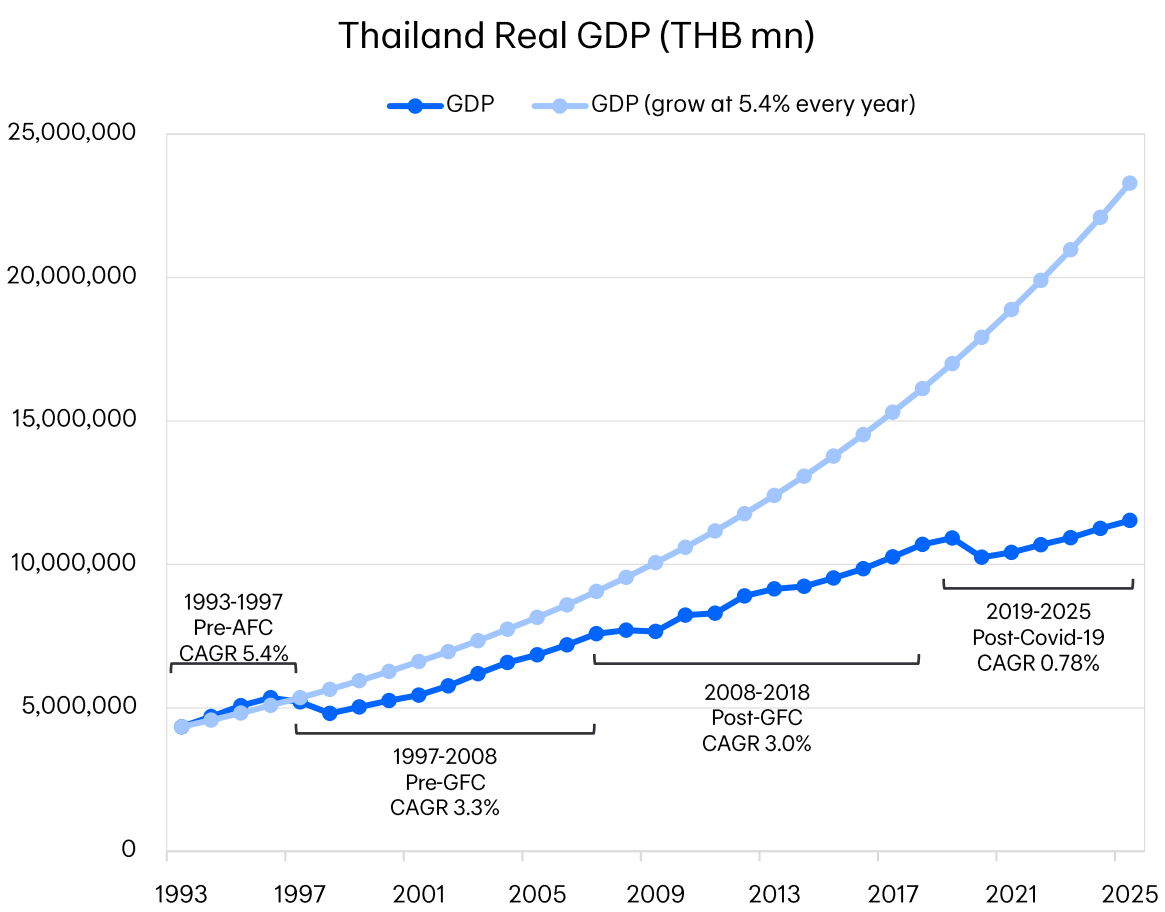


Q1

Thailand's growth prospects and the second-order opportunities from the global AI boom

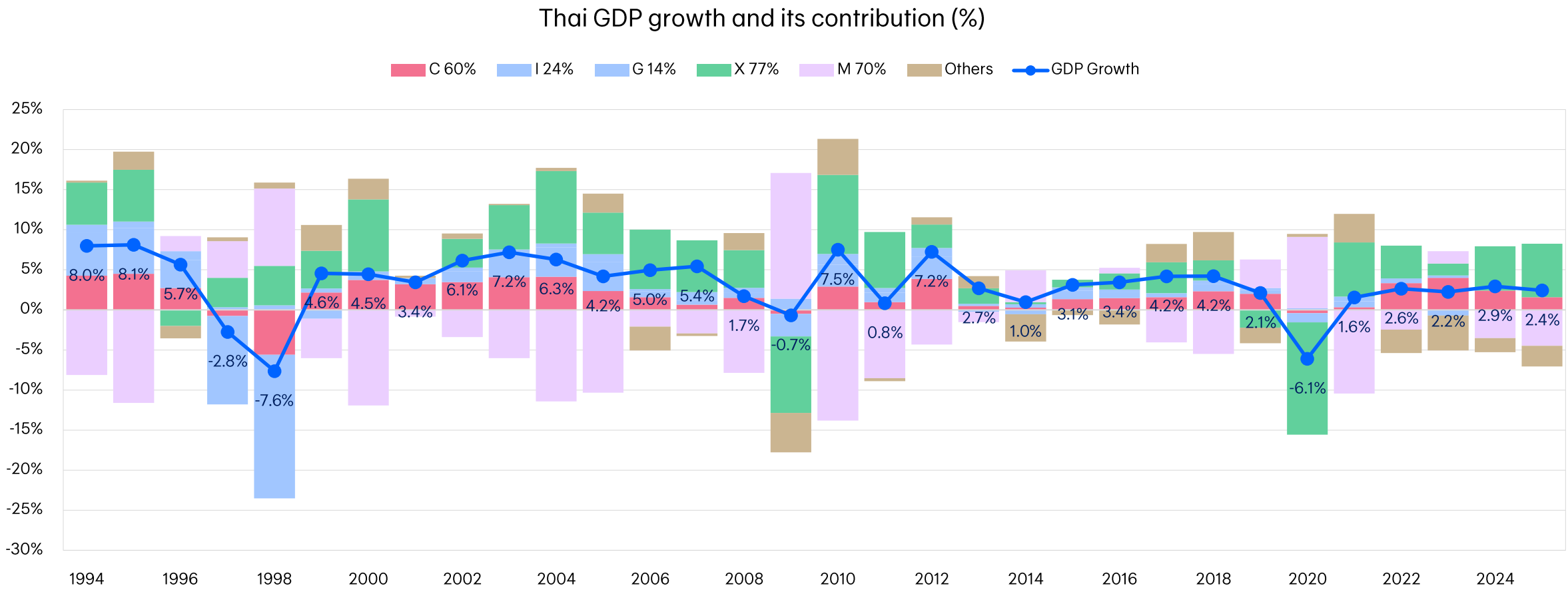
Had Thailand sustained its average annual GDP growth rate of 5.4% from the 1990s, its real GDP today would be twice its actual level





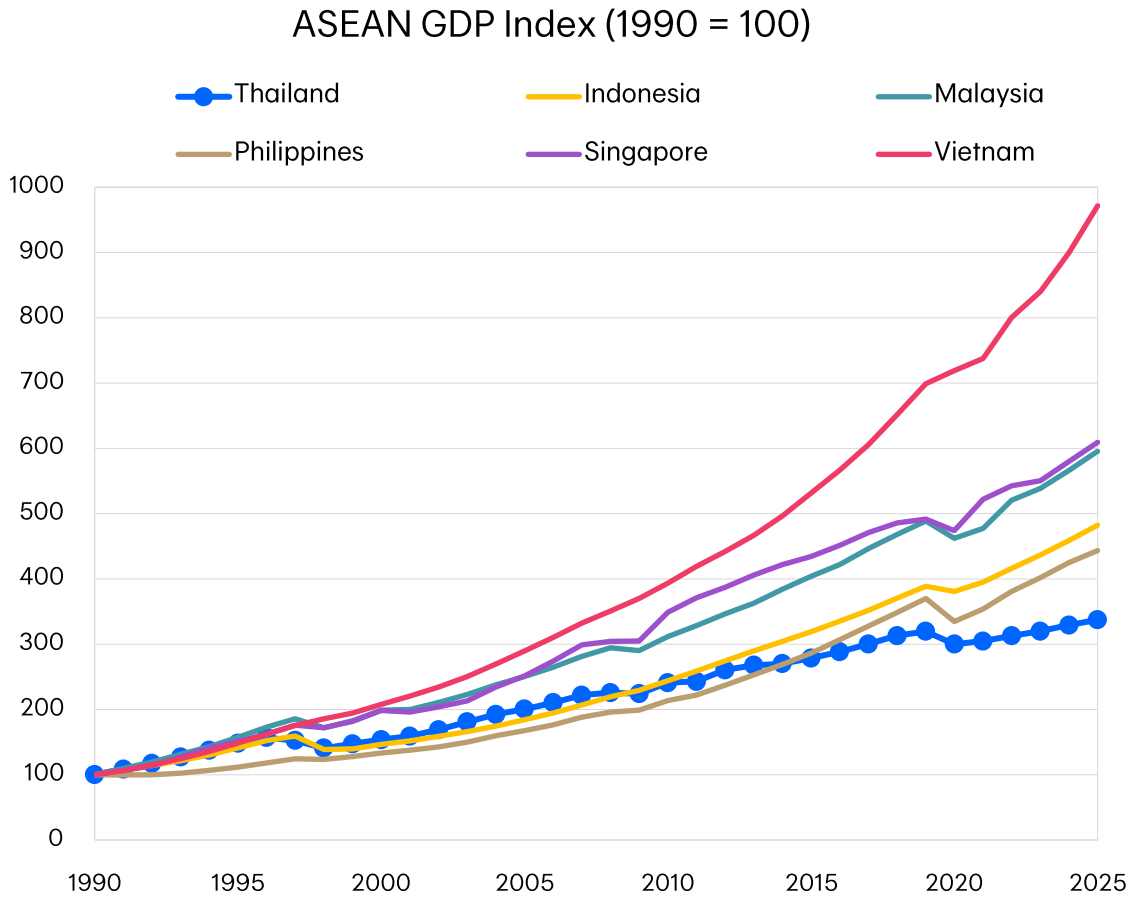
Sources: KKP, NESDC; BBLAM

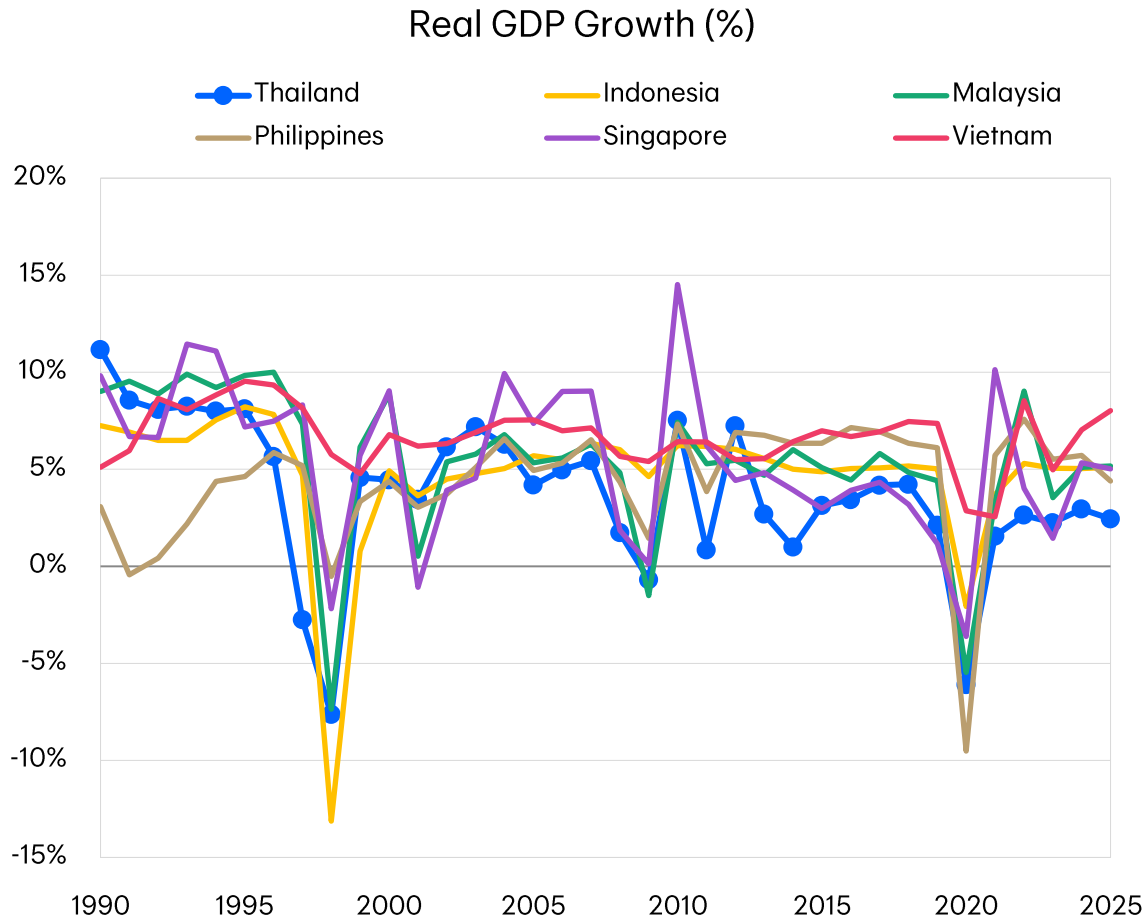
Weak private investment has left growth reliant on consumption and exports



Sources: NESDC; BBLAM

Thailand has grown the slowest in ASEAN since the 1997 crisis





Sources: IMF; BBLAM

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Thailand's Key Economic Policies from the 1980s to the 2020s

1980s



Prem Tinsulanonda (1980–1988)
- **Eastern Seaboard Development** industrial estates, deep-sea ports and post-Plaza Accord Japanese FDI
- Shift toward **Export-Oriented Industrialization** and greater trade/investment liberalization
- Rural development and poverty-reduction programs

Chatichai Choonhavan (1988–1991)
- Continued **market liberalization and private-sector-led growth**
- Promoted regional trade under **"Turn Battlefields into Marketplaces"**

1990s



Anand Panyarachun (1991–1992)
- Advanced **market deregulation and financial liberalization**
- Laid the groundwork for the **Bangkok International Banking Facility (BIBF)**

Chuan Leekpai I (1992–1995)
- Advanced **AFTA, trade liberalization and BIBF**

Chavalit Yongchaiyudh (1996–1997)
- Adopted a **Managed Float of the Baht** on 2 July 1997
- Thailand entered the acute phase of the **Asian Financial Crisis**

Chuan Leekpai II (1997–2001)
- Implemented the **IMF-Supported Stabilization and Structural Reform Program**
- Restructured the financial sector through the **FRA** and bank recapitalization

2000s



Thaksin Shinawatra (2001–2006)
- **30-Baht Healthcare, Village Fund and OTOP**
- Introduced the **Dual-Track Economy**: exports + domestic demand
- Promoted SMEs, grassroots credit and infrastructure investment

Samak Sundaravej (2008)
- Introduced **cost-of-living relief** through free public transport and utility subsidies

Somchai Wongsawat (2008)
- Focused on **grassroots purchasing power**

Abhisit Vejjajiva (2008–2011)
- Launched the **Thai Khem Khaeng** infrastructure stimulus
- Introduced fiscal stimulus and household cost-of-living support

2010s



Yingluck Shinawatra (2011–2014)
- **Rice Pledging Scheme** and demand-side stimulus
- **First-Car Buyer Scheme** and THB 300 minimum wage
- Cut Corporate Income Tax to **20%**

Prayut Chan-o-cha (2014–2023)
- Launched **Thailand 4.0 and the Eastern Economic Corridor (EEC)**
- Accelerated **transport and digital infrastructure investment**
- Introduced the **BCG Economy and a rules-based fiscal framework**

2020s



Srettha Thavisin (2023–2024)
- Proposed the **THB 10,000 Digital Wallet** consumption stimulus
- Promoted **Soft Power, tourism and FDI**
- Advanced the **Southern Land Bridge and Entertainment Complex**

Paetongtarn Shinawatra (2024–2025)
- Continued the **Digital Wallet / cash stimulus**
- Advanced **household debt restructuring, SME support and tourism stimulus**

Anutin Charnvirakul (2025–Present)
- Launched the **Quick Big Win economic program**
- Expanded **SMEs credit guarantees and liquidity support**
- Accelerated **investment and energy-transition measures**

Sources: Royal Thai Government; Bank of Thailand; Ministry of Finance; NESDC; IMF; World Bank; Reuters; various historical policy documents. Compiled by BBLAM.

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Reinvent Thailand aims to shift from investment volume to investment value

01 Strategic Scope

Reinvent Thailand captures an investment-led structural reform agenda combining investment promotion, regulatory facilitation, infrastructure readiness and sector-level policy coordination.

Public–private execution converts proposals into owners, deadlines and KPIs.

02 Policy Direction

The policy direction is to shift Thailand from investment volume toward investment value by raising productivity, technology transfer, local linkages and higher-quality employment.

≥3%	≥30%	Top 20	2037
GDP growth	Investment /GDP	IMD rank	High income

03 Priority Sectors

Seven sectors are positioned as growth engines, while Digital & AI work as cross-sector enablers.

- Agri & Food Processing
- Automotive
- Retail & Trade
- Smart Electronics
- Medical & Wellness
- Tourism
- Creative Economy

Digital & AI act as common enablers rather than a separate standalone pillar.

04 Implementation Horizon

Execution is sequenced across near-term action, firm-level transition and long-term industry building.

Stabilize Today	Transition Now	Invest for Tomorrow
Near-term Constraints	Technology & Skills	Future Industries

Transmission Chain

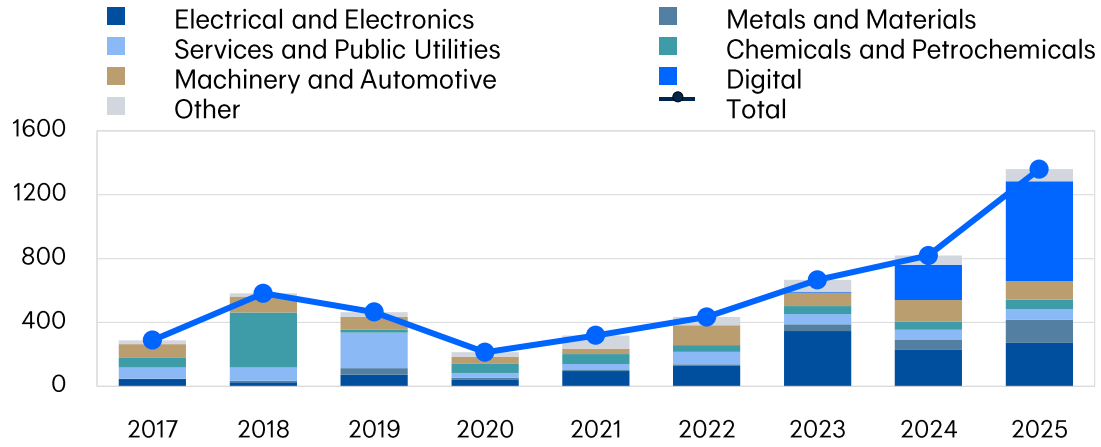
New Investment → Industrial Transformation → Higher Productivity → Local Supply Chains & SMEs → Quality Jobs → Higher Potential Growth

Sources: Thai Government; BOI; NESDC; IMD WCR 2026; BBLAM

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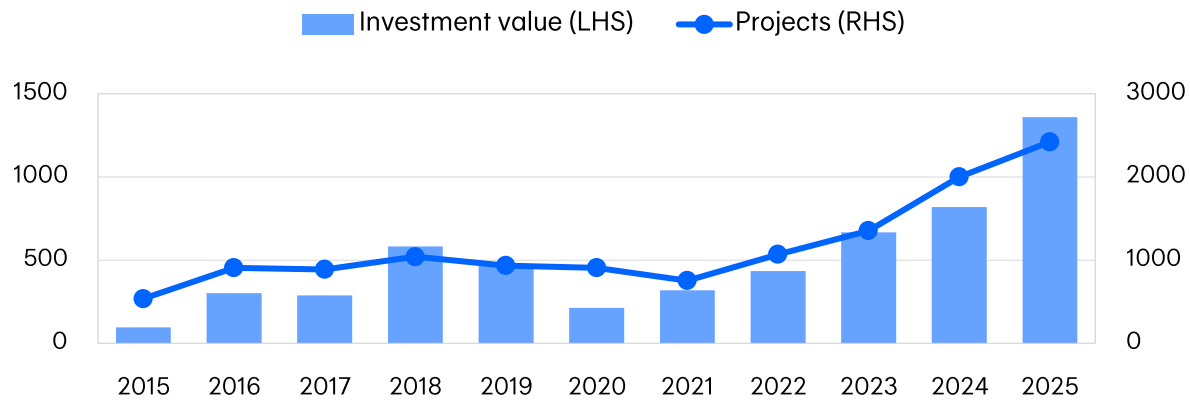
Thailand's investment applications are surging, but actual investment has yet to catch up

Applications by sector (THB bn)



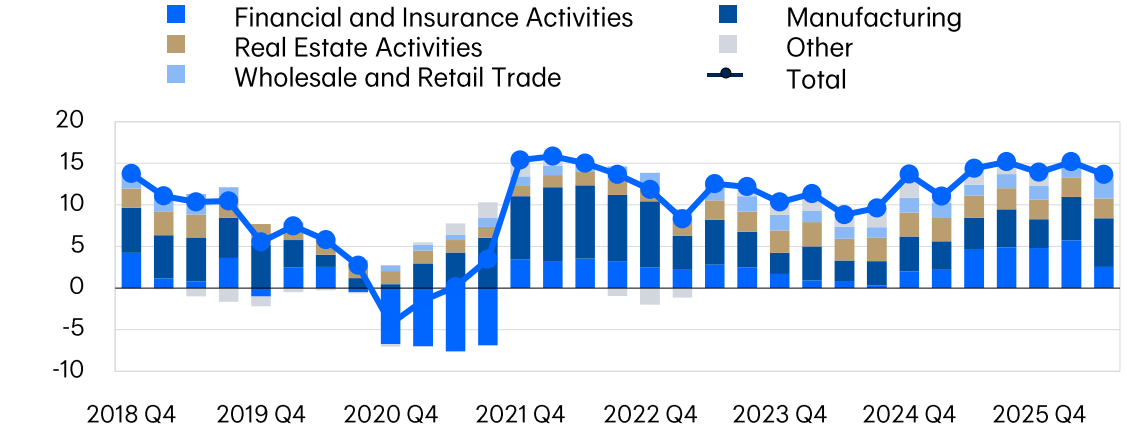
Source: BOI • Annual 2017–25

Investment value (THB bn) and projects



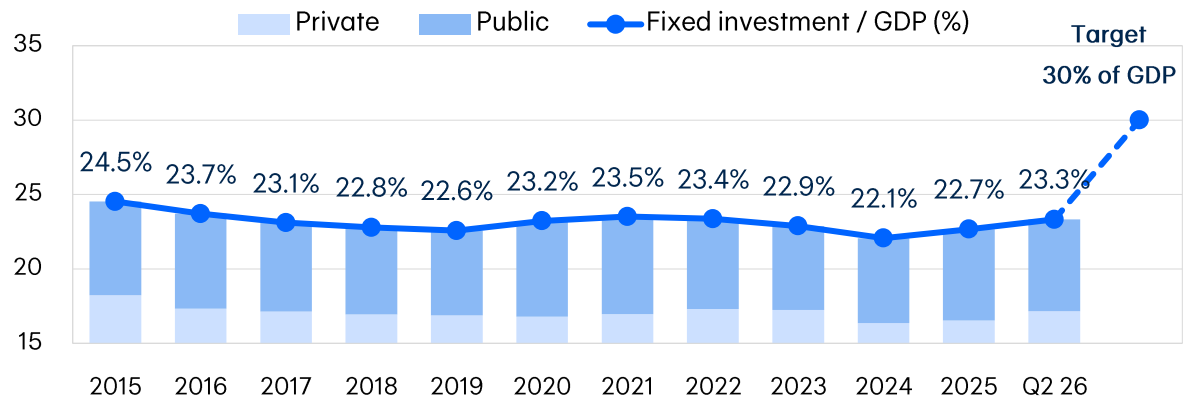
Source: BOI • Foreign applications • Annual 2015–25

Net inward FDI by sector (USD bn)



Source: BOT • 4-quarter rolling sum • Q4 2018–Q2 2026

Fixed investment / GDP (%)



Source: NESDC • Annual 2015–25; latest = 4 quarters to Q2 2026

Sources: BOI; BOT; NESDC; BBLAM

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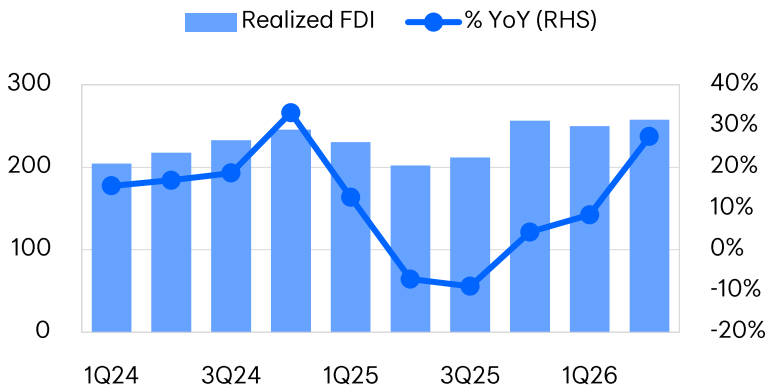
Q2

Why is there still a gap between Southeast Asia's long-term growth story and institutional capital allocation?

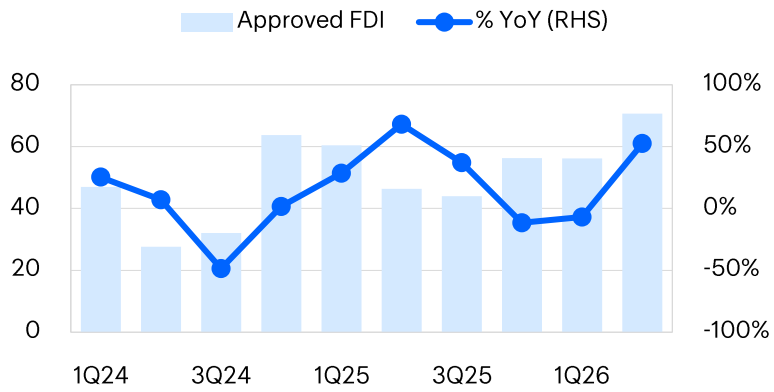
BBLAM

Investment interest across ASEAN remains strong, although momentum varies across countries and actual FDI inflows remain uneven

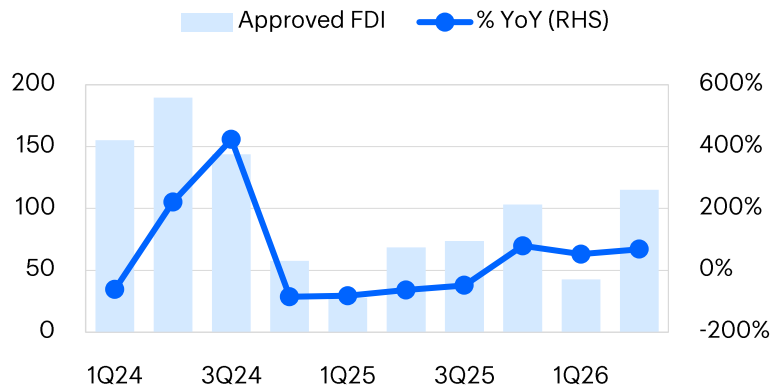
Indonesia (IDR tn)



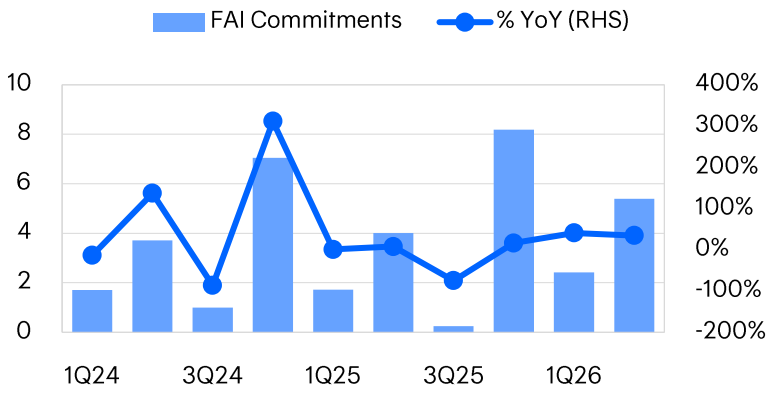
Malaysia (MYR bn)



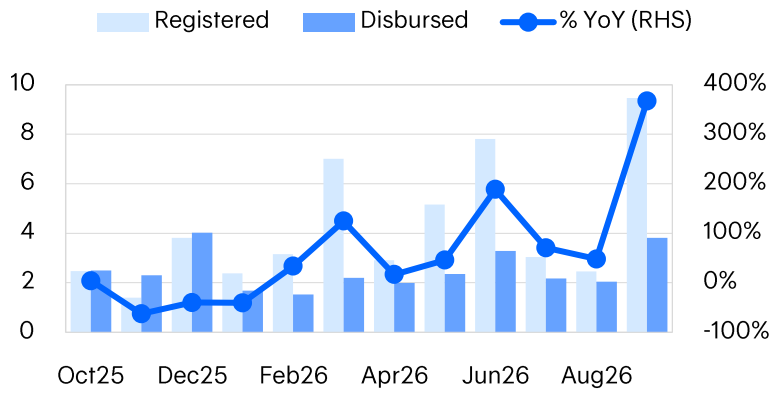
Philippines (PHP bn)



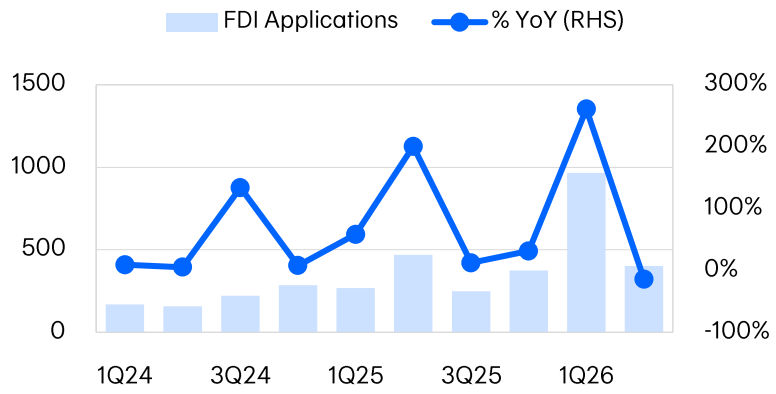
Singapore (SGD bn)



Vietnam (USD bn)



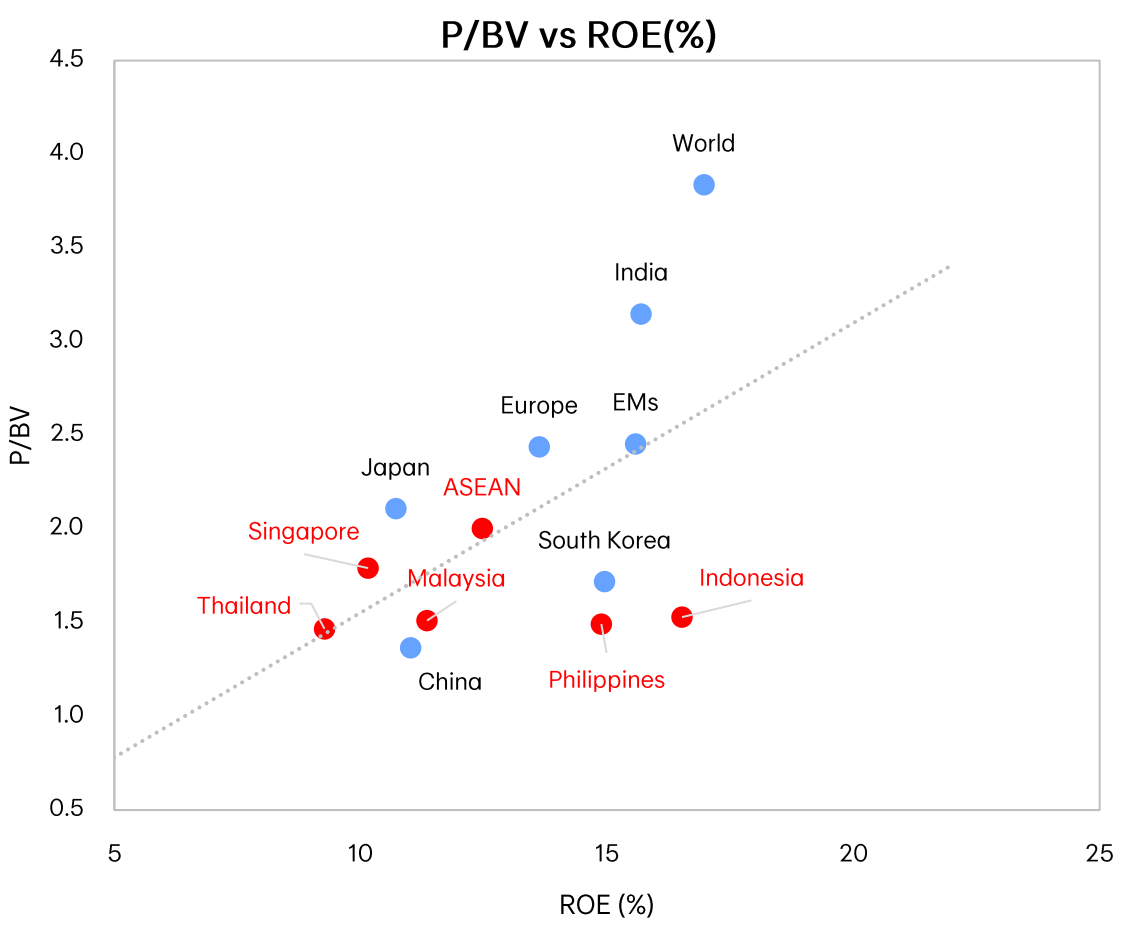
Thailand (THB bn)

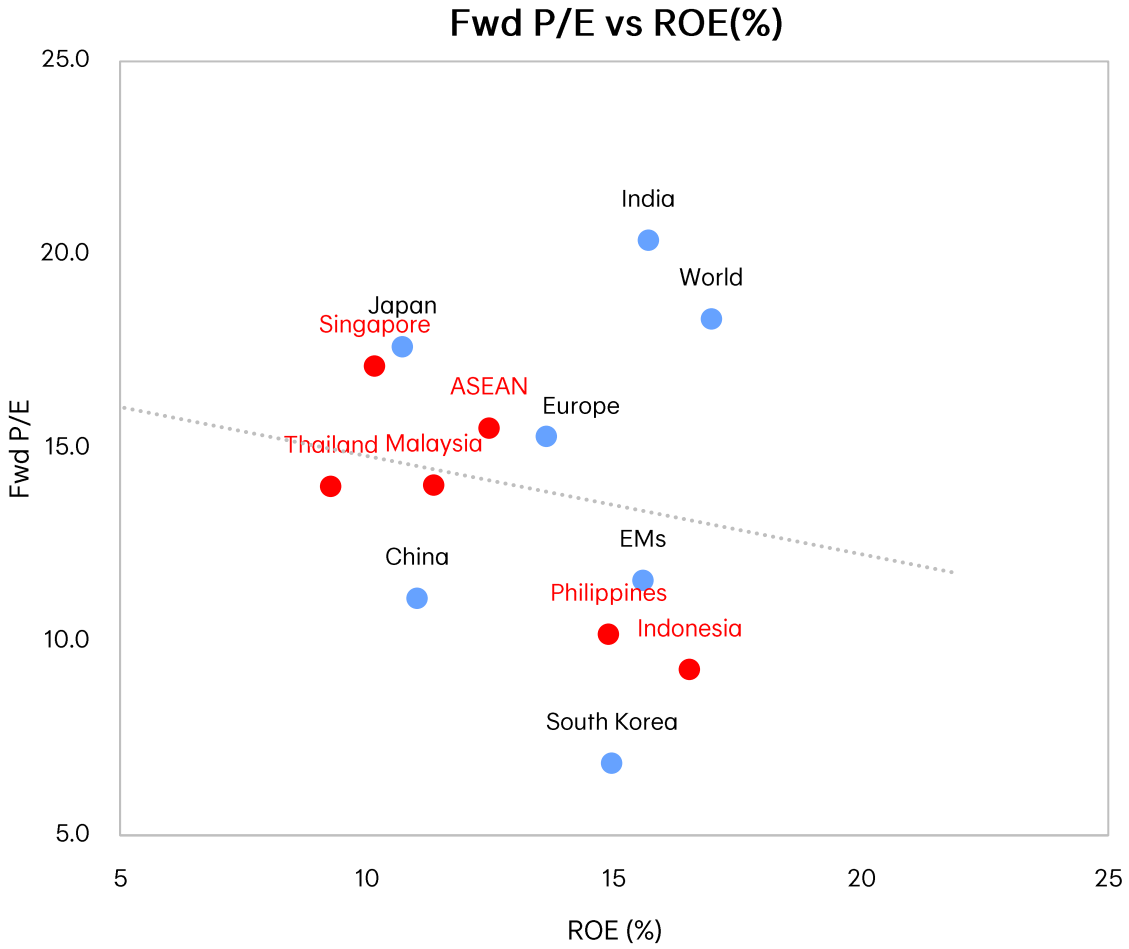


Sources: BKPM, MIDA, PSA, SingStat/EDB, BOI, NSO/FIA, BBLAM

BBLAM

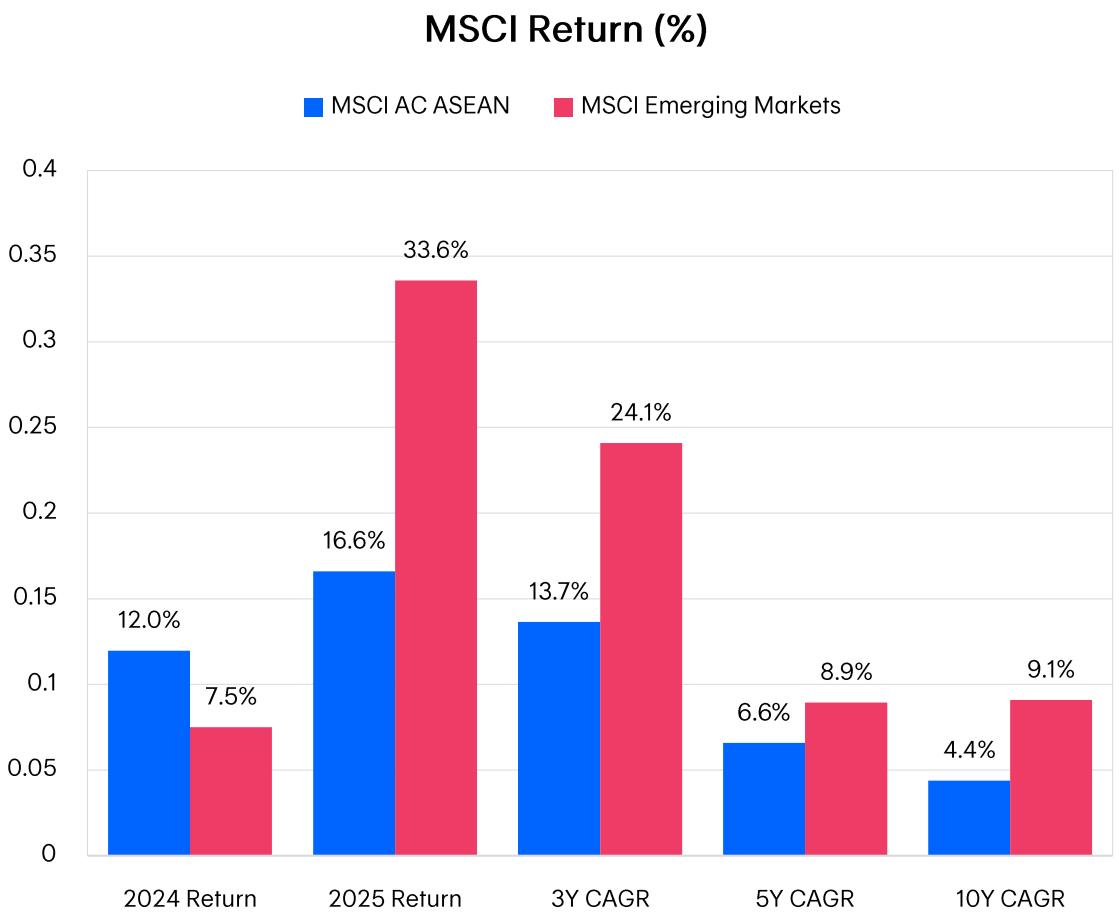
Without stronger ROE, ASEAN valuations have little room to re-rate



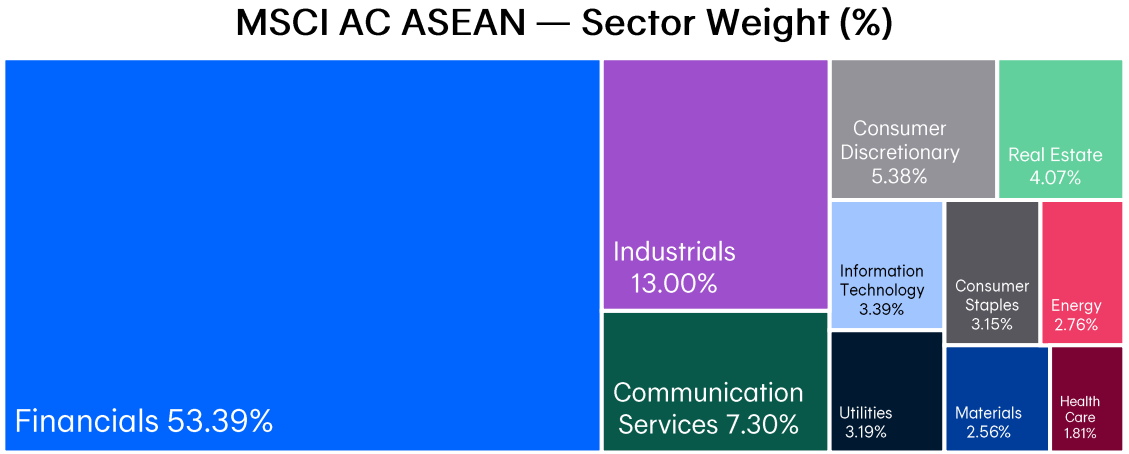


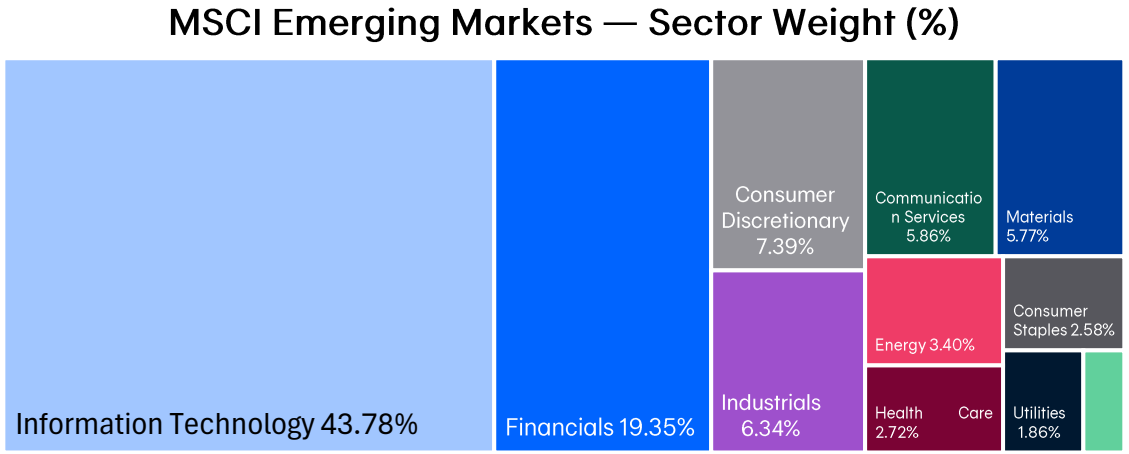
Sources: Bloomberg; BBLAM

EM's AI rally bypassed ASEAN: tech is 44% of EM but only 3% of ASEAN



Asean's 2024 outperformance was led by Singaporean banks, and Malaysia's investment upcycle





Sources: MSCI; BBLAM

One region, different investment cases

Indonesia



STRENGTH

Stronger structural growth and a large domestic market remain the core of Indonesia's long-term appeal.

THIS YEAR

The rupiah hit a record low of **18,190/US$** in June, even after **+100bp** of BI hikes, and the BoP ran a **US$9.1bn** deficit in 1Q26.

INVESTORS WATCH

Whether fiscal credibility and policy continuity hold alongside ambitious domestic programmes.

Malaysia



STRENGTH

A stronger external position, a relatively developed capital market and real exposure to the AI and electronics supply chain.

THIS YEAR

The ringgit reached its **strongest level since 2018** in January, and investment approvals rose **11.7%** to **RM218.5bn** in H1.

INVESTORS WATCH

Whether politics after the Johor and Negeri Sembilan elections disrupts a pipeline that has so far held up.

Thailand



STRENGTH

Strong external buffers: a current-account surplus, inflation within target and a relatively stable baht.

THIS YEAR

Balance-of-payments risk is low, but **weaker potential growth** means the debate is about growth, not vulnerability.

INVESTORS WATCH

Whether FDI, infrastructure and reform translate into productivity and listed-company earnings.

Vietnam



STRENGTH

Strong growth, combined with deliberate efforts to make its public market more accessible to global capital.

THIS YEAR

Market-access reforms are easing foreign participation, modernising market infrastructure and moving toward a central counterparty.

INVESTORS WATCH

Power reliability as industrial demand grows; the state's role in key sectors and foreign-ownership limits.

Global institutions are not buying a single “ASEAN growth story.” They buy individual companies, markets and currencies.

Sources: BI; BNM; MIDA; BOT; IMF; BBLAM

BBLAM

Opportunity should come with evidence: from FDI announcements to investable earnings

01 Execution

From commitments to real investment

FDI approvals must turn into real capital expenditure on the ground.

Signals to watch

- Industrial-estate land sales and factory construction
- Machinery imports, project financing and corporate loan demand

Investor view: the opportunity should be tangible.

02 Productivity

From more capital to a stronger growth engine

Investment must raise output per worker, technology adoption, supplier depth and domestic value added, not merely add capacity.

Signals to watch

- Output per worker
- Higher-value exports
- Supplier depth
- Technology transfer

03 Corporate Earnings

From macro improvement to investable returns

The decisive proof is stronger revenue growth, utilization, margins, ROE and upward EPS revisions across listed companies.

Market implication

- A re-rating becomes durable only when earnings growth broadens and persists.

Transmission Chain Policy & FDI → Real Investment → Productivity → Earnings → Re-rating

ASEAN's fragmented policy landscape continues to constrain its appeal as a core investment allocation

CASE ON GEOPOLITICS: ONE PLEDGE, SEPARATE NEGOTIATIONS

Apr 2025
ASEAN ministers agree not to retaliate against U.S. tariffs and to seek a common position

Jul 2025
Vietnam reaches a deal with the U.S., followed shortly by the Philippines

Oct 2025
Malaysia and Cambodia sign separate agreements with the U.S.

Feb 2026
Indonesia signs its own agreement with the U.S.

Jul 2026
New Section 301 tariffs take effect on 24 July, with rates split by country

THE OUTCOME: SECTION 301 RATES

10%
Cambodia, Indonesia and Malaysia, which had **signed agreements** with the U.S.

12.5%
The Philippines, Singapore, Thailand and Vietnam face the **higher rate**

Each country had a reason to move alone, but negotiating separately left the region with less leverage than it could have had together.

WHAT TURNS SELECTIVE INTO CORE

- **Policy predictability** — Rules that hold through political cycles
- **Deeper, more liquid markets** — Room to deploy size and exit
- **Greater sector diversity** — Beyond a financials-heavy index
- **Governance and accessibility** — Minority protection and easier entry
- **Manageable currency volatility** — Local returns not lost to FX swings
- **Investment showing up in earnings** — FDI reflected in listed-company profits

If these conditions improve, ASEAN moves from a collection of interesting country trades to a durable regional allocation.

Sources: ASEAN Secretariat; USTR; White House; BBLAM

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Q3

What should global investors watch over the next two to three years?

What to watch: is investment becoming earnings?

01 Transmission | 02 Currency resilience | 03 Policy continuity | 04 Market reform

THE TRANSMISSION CHAIN

FDI → **Capex** → **Productivity** → **Earnings**

BOI approvals and industrial-estate land sales show capital has been **committed but** not yet spent.

Factory construction, machinery imports and corporate lending show commitments turning into **real spending**.

Rising power demand, local suppliers moving up the value chain and higher-value exports show **new capability**.

Better margins, higher ROE and positive EPS revisions show the gains **reaching listed companies**.

Case Study: Thailand

~1 trillion baht

of data center projects approved by the BOI in 2026, including about 842bn baht from TikTok alone

Key indicators to monitor include industrial-estate sales, factory construction, machinery imports, electricity demand, corporate lending, and higher-value exports.

Together, they will signal whether FDI commitments are translating into real economic activity and corporate earnings.

The investment opportunity depends on how effectively FDI translates into productivity gains and corporate earnings.

Sources: Thailand BOI; BBLAM

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What to watch: currency resilience and policy continuity

01 Transmission | **02 Currency resilience** | **03 Policy continuity** | 04 Market reform

02 SAME SHOCK, DIFFERENT OUTCOMES

Thailand

- Entered the energy shock with a **current-account surplus**
- Inflation within the BOT's target
- Baht relatively stable through the shock

Indonesia

- Entered with a CA deficit of **~1.1% of GDP** and portfolio outflows
- Rupiah hit a record low of **18,190/US$** in June
- BI raised rates by **100bp** and tightened FX rules

What investors need to see: confidence not only in GDP growth, but in inflation management, fiscal credibility, external balances, reserve adequacy and monetary policy, especially when U.S. rates are high, the dollar is strong or commodity prices spike.

For offshore investors, strong local equity returns can be diluted quickly by currency depreciation.

03 POLITICAL ISSUES VS. POLICY DIRECTION

Indonesia	Two finance-minister changes in a year; Moody's and Fitch cut outlooks to negative. September's technocrat appointment was received calmly.
Malaysia	Coalition setbacks in the Johor and Negeri Sembilan elections, yet investment approvals still rose **11.7%** to **RM218.5bn** in H1.
Thailand	First sitting PM re-elected in two decades, after three PMs in about three years; the pending U.S. trade deal is the first test.
ASEAN	A U.S. excess-capacity probe covering six members is pending; a collective response would strengthen ASEAN's bargaining position.

Markets can accommodate political differences; what they struggle with is uncertainty over the rules of the game.

Durable allocations need credible policies and macroeconomic stability.

Sources: BOT; BI; Moody's; Fitch; MIDA; USTR; BBLAM

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What to watch: capital-market reform becomes a regional agenda

01 Transmission | 02 Currency resilience | 03 Policy continuity | **04 Market reform**

Singapore | Liquidity

The Equity Market Development Programme was expanded to **S$6.5bn**, with S$5.4bn already allocated to asset managers by September, plus support for small- and mid-cap market-making.

Malaysia | Market depth

The Capital Market Masterplan 2026–30 expects the capital market to grow from **RM4.3tn** in 2025 to around **RM5.8–6.3tn** by 2030.

Indonesia | Market integrity

After MSCI froze index changes in January over ownership transparency, regulators added disclosure of concentrated holdings and a roadmap to lift free float from **7.5% to 15%**.

Thailand | Governance

Corporate Value Up and JUMP+ aim to lift governance, strategy and shareholder value, while **BOI-to-IPO** links the new-economy investment cycle to the listed market.

Philippines | Transaction costs

The Capital Markets Efficiency Promotion Act cut the stock transaction tax from **0.6% to 0.1%**, lowering the cost of trading for all investors.

Vietnam | Market access & liquidity

The most explicit market-access agenda: easier foreign participation, modernised market infrastructure and a move toward a **central counterparty**, alongside its upgrade strategy.

Coordinated progress across these areas could position Southeast Asia as a conventional choice for investors

Sources: MAS; SC Malaysia; OJK; SET; BOI; Philippine BIR; SSC Vietnam; ACMF; BBLAM

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Scan to access the presentation and ASEAN primer